



The Fintech Brief II

Analysing the success of the UK's fintech industry

Introduction

The UK's fintech industry is driving global change in traditional banking, payment, and lending services. The sector has seen meteoric growth since our records began in 2011, with an astonishing £2.4b of funding deployed over 210 rounds in 2019.

The outbreak of coronavirus, and the economic uncertainty that has accompanied it, has threatened this upwards trend. Still, fintech is better positioned than most to weather the storm, and has maintained its position as the UK's strongest high-growth sector.

Almost seven months on from the start of lockdown, we've evaluated the current state of the market and the factors that contribute to its success. Alongside the geographical distribution of companies, we provide an update on fundraising statistics, and conclude with our ranking of the five most ambitious UK fintech companies.



What do we mean by ambitious?

We use eight criteria to identify high-growth and ambitious companies.

Each of these is a sign of external validation that a business is either actively growing or creating ambitious growth plans.

All companies featured in this report have met at least one of these growth triggers.



Equity investment



Venture debt



Accelerator attendance



Grant recipients



Scaleups



High-growth lists



MBO/MBI



Academic spinouts

Stages of evolution

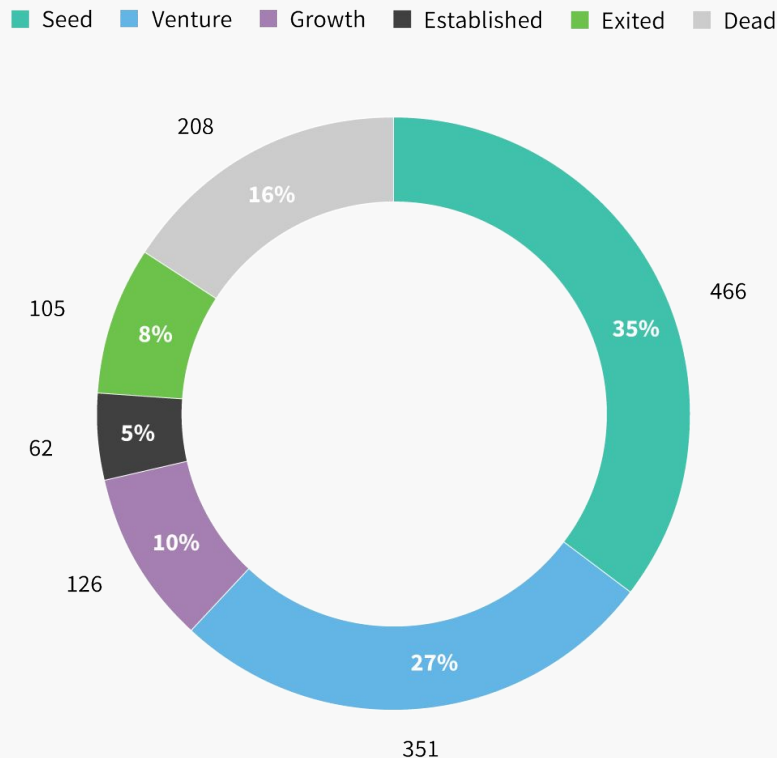
There are currently 1,005 active, ambitious fintech companies in the UK. That's around 3% of all high-growth UK businesses.

Over the past 18 months, the number of high-growth UK fintechs has increased by around a third, as the industry continues to expand at a rapid rate.

An impressive 105 fintechs have exited the market, either through an IPO or acquisition, and 208 are no longer trading.

Fintech is a young sector, with 35% of companies at seed stage, and 27% at venture stage. This compares with just 30% and 15%, respectively, in the high-growth sector as a whole.

Current stages of evolution of UK fintechs



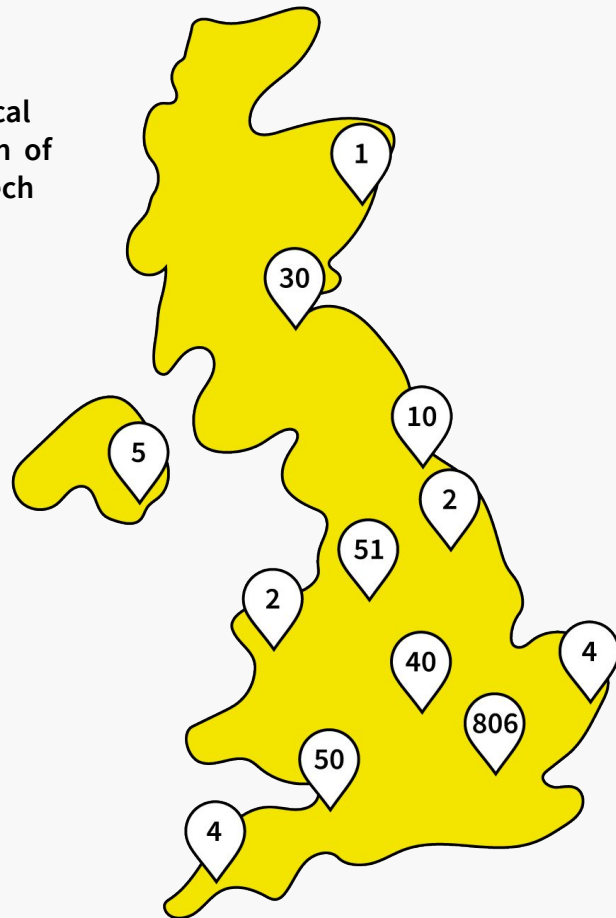
Geography

London is widely considered as the fintech capital of Europe, and the density of companies found there is testament to this. An impressive 806 high-growth fintechs reside in the city, representing 73% of all those in the UK.

This proportion has remained largely unchanged in recent years. But whilst the Capital is still dominant in UK fintech, it doesn't hold a monopoly.

There are fintech clusters thriving across the country, most notably in Bristol, Manchester and Edinburgh. The high-growth ecosystems in these regions are continuing to draw ambitious fintech companies to the area.

Geographical distribution of active fintech companies



Methods of growth

There are a variety of ways in which fintech companies can grow and fuel their ambitions. Several have used accelerator programmes to launch themselves into the next stage of growth. We've tracked 439 accelerator attendances by UK fintechs since 2011.

Meanwhile, just 10 of the UK's high-growth fintechs have been spun-out of a university. Spin-outs benefit from intensive research and development, as well as extended support from the institutions they're born out of.

Equity investment, however, is by far the most popular method of growth amongst UK fintechs. And they have their pick of funds to choose from. Investors from all over the world look to the UK for high-potential fintech opportunities. The inflow of capital, combined with the expertise of investors, helps elevate these businesses to reach new markets and expand their offering.

1136

**Equity
recipients**

10

**Academic
spinouts**

439

**Accelerator
attendances**

154

**Visible
scaleups**

Fundraisings: big picture

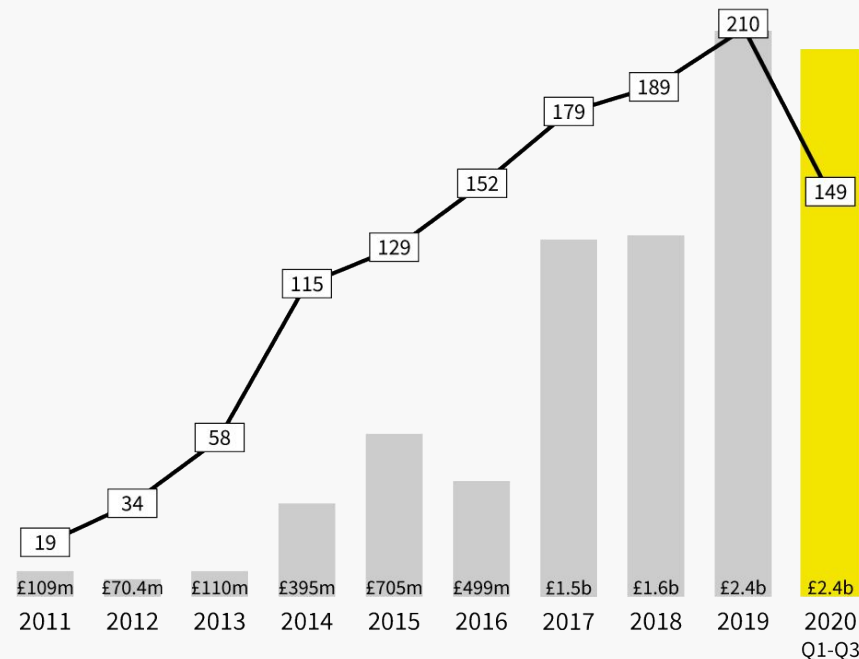
UK fintech has seen a sustained period of growth in the number of equity fundraisings since 2011.

Between Q1 2011 and Q3 2020, fintech companies have secured 1,234 publicly announced equity deals, worth £9.82b in total. The average value of these investments was £8.45m.

2019 was a record year for fintech, with 210 equity deals worth a combined £2.4b. That's £800m more than the year prior.

It seems there's an ever-increasing amount of capital available to support UK fintech companies right now, which is playing a major part in the industry's growth.

Number and value of announced equity deals into UK fintechs
Q1 2011 - Q3 2020



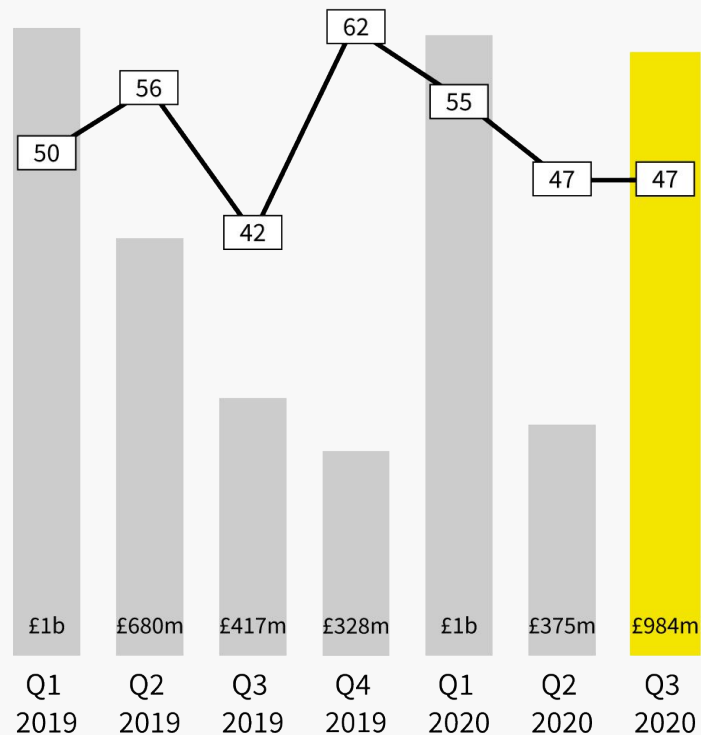
Fundraisings: 2019-2020

In 2019, there was significant variation in the amount of capital invested in each quarter, from £1b in Q1 to just £328m in Q4. The number of deals completed also fluctuated, between 42 in Q3 and 62 in Q4.

2020 started off strong, with £1b worth of equity invested over 55 deals in Q1. But in the midst of a national lockdown, there was a dramatic drop in the value of investments. Just £375m was invested in Q2 2020, compared to £680m in Q2 2019.

Still, more pounds were invested than in Q4 2019, and more deals completed than in Q3 2019. Q3 2020 was also strong, with 47 rounds totalling £984m—more than double Q3 2019. Is this a sign of positive recovery or a mass bail-out? Our data suggests the former: 95% of fintechs have avoided the worst effects of the pandemic.

Number and value of announced equity deals into UK fintechs
Q1 2019 - Q3 2020



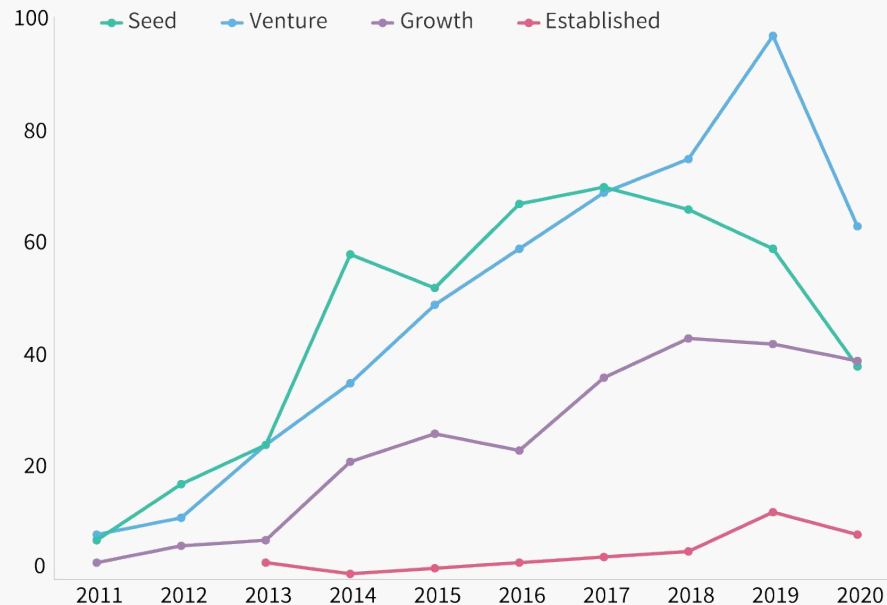
Fundraisings: by stage

Despite making up the largest proportion of fintechs, fewer seed stage deals are happening each year. As we've been warning for a couple of years now, this is a worrying sign. If seed-stage activity continues to drop off, the pipeline of investable companies at later stages will diminish over time.

Generally, companies in traditional sectors have already reached profitability by the established stage of growth, and may not need further funding. But in such a young and competitive industry, fintechs often follow a 'growth before profit' model, and may still rely on equity at this stage.

Revolut, Zopa and Starling Bank are all examples of loss-making businesses that have raised huge sums in the established stage of growth. Currently, just 3% of fintech deals have been completed at the established stage, but we expect this proportion to increase over the coming years, and at a faster rate than other sectors.

Number of announced equity deals into UK fintechs by stage
Q1 2019 - Q3 2020



Dedicated investors

Alongside a very healthy collection of sector agnostic investors, the UK is also home to a number of fintech-focused funds.

These range from venture capital firms to corporate venturing arms, and early stage finance to growth stage capital.

As experts in the fintech space, these funds can offer ongoing mentoring and sector-specific advice to their portfolio companies.

We currently track seven UK funds that exclusively invest in fintech companies, and a further 30 that list fintech as one of their preferred sectors of operation.



Mouro Capital

Spunout from Santander InnoVentures, Mouro Capital is now an autonomous London-based VC firm with \$400m assets under management that invests in early to growth stage fintechs.



FinTech Circle

Based in Barnet, FinTech Circle is Europe's first fintech-focused angel network. After a rigorous application process, founders pitch to investors, who collectively offer between £70k and £500k.



Augmentum Fintech

Augmentum Fintech is a patient VC fund that invests across Europe. Its portfolio companies have unique or disruptive business models and a first mover advantage.



Outward VC

Backed by Investec, Outward VC invests in early stage fintechs addressing global opportunities. As long-term investors, the majority of the firm's funds are reserved for follow-on.

Dedicated accelerators

Accelerator programmes are all about getting a company off the ground and giving them the tools they need to realise their full potential.

The number of these programmes has grown dramatically in the last few years, with many now specialising in specific verticals like fintech.

We currently track seven fintech-focused accelerators, as well as a further 26 more general tech programmes.

Collectively, 188 high-growth UK companies have attended fintech-specific accelerators. These include ambitious businesses like 9fin, PrimaryBid, Aire, GoodBox, and Flux.



Barclays Accelerator

Manager: Techstars
Sponsors: Barclays
Duration: 13 weeks
Attendances: 42



Fintech Innovation Lab London

Manager: Accenture
Sponsors: -
Duration: 3 months
Attendances: 76



AG Elevate

Manager: Addleshaw Goddard
Sponsors: -
Duration: 10 months
Attendances: 18



Tech Nation Fintech

Manager: Tech Nation
Sponsors: CBRE, RSM UK, Fintech Alliance, et al.
Duration: 6 months
Attendances: 43

5 fastest-growing UK fintech companies

Top fintechs by growth in turnover (2018-2019)

Rank	Company	Latest turnover	Growth from previous year
1	Monzo	£19.7m	641%
2	Habito	£2.72m	229%
3	Bibimoney	£1.1m	224%
4	Velocity	£7.82m	197%
5	10x Banking	£54.7m	194%

1 Monzo



Location: London (Liverpool St)

Stage of evolution: Growth

Employees: >1000

2019 turnover: £19.7m

Growth from previous: 641%

With an impressive **641%** growth in turnover, Monzo is the fastest-growing fintech in the country. Monzo offers customers a range of banking and money management services via its app. Users can track and budget their money, access loans, or open savings accounts instantly.

To date, Monzo has received **£384m** in fundraisings, through **12** rounds of investment. It has also attended two of Tech Nation's accelerator programmes (Future Fifty and Upscale), and been named on several high-growth lists, most recently The FinTech50.

In June, after the closure of its Las Vegas office, Monzo announced 120 UK redundancies. And in its most recent round of fundraising, the company took a 40% reduction in its valuation. Even still, Monzo's app continues to be used by over 4m people.

2 Habito



Location: London (Whitechapel)

Stage of evolution: Growth

Employees: 100-249

2019 turnover: £2.72m

Growth from previous: 229%

In second place, with **229%** growth in turnover between 2018 and 2019, is Habito—the free digital mortgage brokerage, and now lender, which allows users to compare, apply for, and track their mortgages online.

To date, Habito has received **£83.3m** in fundraisings, through **five** rounds of investment. It also joins Monzo on this year's The FinTech50 high-growth list.

The company currently has a **potentially positive** COVID-19 impact status, meaning it can potentially grow its operations as a result of the pandemic.

Habito recently became one of 3,500 Certified B Corp companies committed to putting “people and planet on the same level as profit”, alongside big names like Ben & Jerry's and Patagonia.

3 Bibimoney



Location: London (Islington)

Stage of evolution: Venture

Employees: 5-9

2019 turnover: £1.1m

Growth from previous: 224%

Close behind Habito, with **224%** growth in turnover, Bibimoney is relatively new to the scene—hitting our tracking triggers for the first time in August.

The company's innovative technology provides secure mobile wallet services that work on any phone and any mobile network. Users can transfer money and make payments from their digital wallets, with no WiFi or data required.

Through its pioneering product, Bibimoney is hoping to support global development by increasing financial inclusion for the unbanked and underbanked. Its working with the UK Government, NGOs, and the UN, and has established partnerships around the world.

To date, the company has raised **£788k** in fundraisings, through **two** rounds of investment. Its current COVID-19 impact status is set to **low**.

4 Velocity



Location: London (Westminster)

Stage of evolution: Growth

Employees: 50-99

2019 turnover: £7.82m

Growth from previous: 197%

Next up, with **197%** growth in turnover, is the travel, restaurant, and event recommendation app, Velocity Black.

Using a mix of human and machine power, Velocity Black claims to be the ultimate members club, “reimagined for the digital age”. The app enables its members to book and pay for everything through their phones.

To date, Velocity has received **£32.8m** in fundraisings, through **seven** rounds of investment. It’s also a member of the 2019 Forbes Technology Council, and its app has members in over 60 countries.

Despite being classed as severely impacted in June, Velocity’s COVID-19 impact status has improved significantly, and is currently set to **potentially positive**.

5 10x Banking



Location: London (Westminster)

Stage of evolution: Growth

Employees: 100-249

2019 turnover: £54.7m

Growth from previous: 194%

Fifth in our ranking, with **194%** growth in turnover, is the company trying to make banking “10x better”. 10x has developed an open banking platform for the financial services industry.

Founded in 2016 by Antony Jenkins, former Group CEO of Barclays, 10x aims to improve customer experience for banks. The company uses its cloud-native platform to provide more timely, relevant, and personalised experiences for its clients’ customers.

To date, 10x has raised **£89.9m** in fundraisings through **three** rounds of investment. And, like several of the fintech companies in our ranking, its COVID-19 impact status is currently set to **potentially positive**.

Looking to work with companies like these?

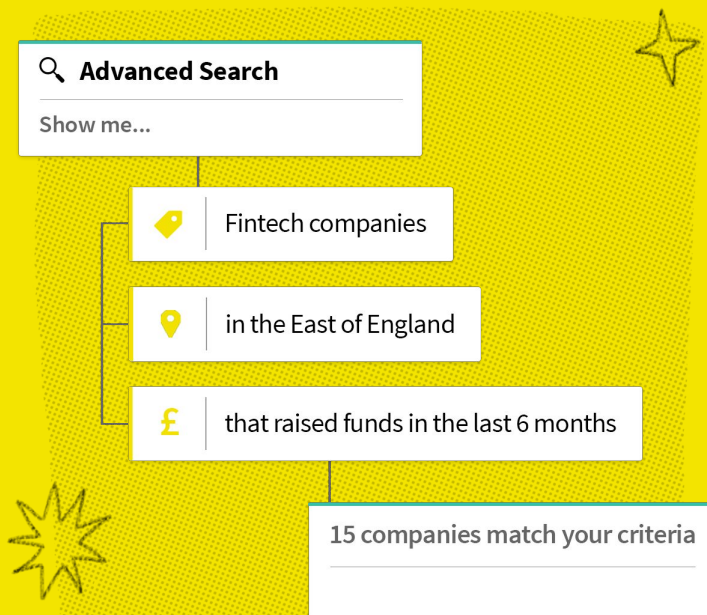
We don't blame you.

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